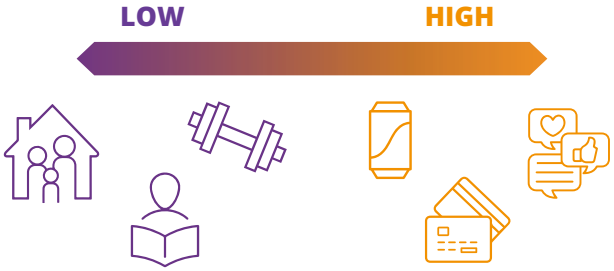
- In the context of the desert example, this means that you might be more inclined to drink all of the water right away, even if it means that you won't have any left for later. This is because the thirst you feel right now is more pressing than the potential thirst you might feel in the future.
- On the other hand, if you choose to ration the water and drink it slowly over time, you are demonstrating a lower time preference. This means that you are willing to wait to satisfy your thirst in order to have a greater chance of survival in the long run.

Time preference refers to the idea that people generally prefer to have something NOW rather than later.



- For example, let's say you have the option to receive $100 today or $110 in a year. If you have a high time preference, you might choose to receive the $100 today, because you value the immediate satisfaction of having the money now more than the potential benefit of waiting for an extra $10 in a year. On the other hand, if you have a low time preference, you might be willing to wait for the larger reward in the future, because you are less concerned with immediate gratification and more focused on long-term planning.

The concept of ***opportunity cost*** is closely related to the idea of **scarcity** and **time preference**.

Opportunity cost refers to the value of the next best alternative that you give up when you make a decision.
Every decision involves trade-offs.

- In the desert example, the opportunity cost of drinking all of the water right away is the survival benefits you would have gained from rationing the water and using it over a longer period of time.

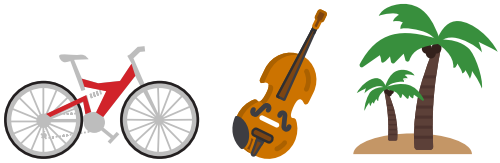
Today's Choice

Buying a $7 strawberry smoothie.

NOW

Spending $7 another way.

LATER



Benefiting from $7 saved regularly.